

really important questions: Does the business have a sustainable and/or expanding moat? What are the weakest links over the next five years? Are there hidden path dependencies? Does the business have pricing power, and how has it been exercised? How (anti) fragile is the business, and will it thrive in the next downturn? What would it take to replicate this business? Will the business be in a better position with an even wider moat five years from now?

If you can answer these questions with confidence, you will have clarity on the things that truly matter and be well on your way to accurately assessing intrinsic value. Remember that simple is usually better; in investing, there is no extra credit for degree of difficulty. You can find straightforward businesses with strong, sustainable moats and franchises while avoiding the axiom, “when a strong management team meets a bad business, the business wins.” None of this guarantees a good result, but it certainly helps.

Determining Intrinsic Value

As Warren Buffett wrote in his 1989 letter to the Berkshire Hathaway shareholders, “It’s far better to buy a wonderful company at a fair price than a fair company at a wonderful price.”

A business is worth the sum of its discounted cash flows in perpetuity. This concept sounds simple enough, but there are a few key variables involved in this calculation: the discount rate to be used and one’s assessment of those cash flows in perpetuity. Estimating future cash flows entails a determination of a company’s capital intensity, its growth rate, and management’s allocation objectives. A couple of examples may demonstrate the power of these estimates.

Assuming a constant 10% discount rate, a business that will grow at 15% a year without requiring any additional capital is worth $\approx 26\times$ its current earnings, whereas the same business growing at 15% but needing to reinvest much or all of its earnings to achieve that growth